UNIVERSITY OF LAGOS

DEPARTMENT OF ECONOMICS

ECON 301 MICROECONOMICS

Week 6: Elasticity

1. Define price elasticity of demand and explain its determinants.
2. Distinguish between point elasticity and arc elasticity.
3. A 10 percent rise in price reduces quantity demanded by 4 percent.
   Compute the price elasticity of demand and classify the good.
4. Discuss the relationship between elasticity and total revenue.
5. Explain income elasticity and cross-price elasticity with examples.
6. Derive the elasticity of a linear demand curve at any point.
7. Explain why perfectly elastic demand curves are horizontal.
8. Outline two real-world applications of elasticity in pricing.

Submit answers before Friday 5pm.

COURSE OUTLINE AND READING LIST

CSC 305: ALGORITHMS AND DATA STRUCTURES

Module 1: Complexity analysis, asymptotic notation.

Module 2: Sorting algorithms and lower bounds.

Module 3: Graph traversal and shortest paths.

Module 4: Dynamic programming and greedy methods.

Module 5: NP-completeness and reductions.

Required text: Introduction to Algorithms, 4th edition.

Assessment: two CA tests 30 percent, exam 70 percent.

Tutorials: Wednesdays 2pm, Lab 3, Faculty of Science.

Questions for Revision

Explain the concept of opportunity cost and give three examples from everyday decision making. Discuss how sunk costs should be treated in economic decision making and why they are excluded.

Compare marginal analysis with average analysis and show, using a simple table, how a rational firm selects its output level.

Describe the shape of the production possibility frontier when resources are not equally suited to both goods. Illustrate how technical progress shifts the frontier outward over time.

Define consumer surplus and producer surplus, and explain how taxes create deadweight loss in a competitive market.